Benefit Card - Payment Processing

Executive Summary

In India's employee benefit card ecosystem, reversals and refunds must be precisely allocated back to the originating wallet (Food / Fuel / Telecom / General).
Correct wallet crediting is **critical because**:

- It **preserves customer trust** by ensuring benefit integrity (employees can only spend restricted benefits in designated categories).
- It ensures **regulatory compliance** with RBI PPI Master Directions on allowed wallet usage.
- It preserves **corporate tax advantages**, as misuse of restricted wallets (e.g., Food refund wrongly credited to General) breaks proof of benefit utilization.

Failure to restore funds to the correct wallet risks **non-compliance, misuse, taxation exposure**, and customer dissatisfaction.

Problem Statement

Refunds and reversals often lack the original debit reference at clearing/settlement. Without accurate mapping back to the correct wallet, issuers risk:

- **Wrong wallet crediting** (e.g., Fuel refund → General wallet).
- **Benefit misuse** by employees (restricted benefits becoming fungible cash).
- **RBI compliance violations** (restricted category benefits must remain restricted).
- **Tax exposure** for employers under Income Tax exemptions (Food/Fuel allowances no longer ring-fenced).

This demands a **robust functional + operational framework** that ensures **refund integrity** even in the absence of original debit reference fields.

Transaction Types and Refund/Reversal Rules

Network-Based Approach - Tide will not establish direct merchant-specific partnerships similar to Sodexo's model.

Transaction Routing - All benefit card transactions will be processed through the RuPay network infrastructure, ensuring broad merchant acceptance without requiring individual partnership agreements.

Wallet Type	Transaction Type	Refund/Reversal case	Comments
Fuel	• Card TXN • Card TXN Refund • Card TXN Reversal	Refunds in the respective wallets if deducted. Scenario: • Employee does a transaction on fuel station • Funds got debited • Transaction got failed due to technical issues • The reversal should be processed in the fuel wallet	
Food	• Card TXN • Card TXN Refund • Card TXN Reversal	Scenario: • Employee does a transaction on food or grocery store • Funds got debited • Transaction got failed due to technical issues	

		• The reversal should be processed in the Meal wallet Online transaction: • Employee does a transaction on swiggy or Zomato. • Order is not fulfilled and refund is processed • The transaction should be refunded in the meal wallet	
Telecom	• Card TXN • Card TXN Refund • Card TXN Reversal	Online transaction: • Employee does a transaction on on telecom companies app • Order is not fulfilled and refund is processed	

		• The transaction should be refunded in the meal wallet	
General	All transaction	General wallet transactions should be expected at all the merchants and refund and reversal should be processed to this wallet if the original transaction originated from it.	

Refund/reversal scenario- Rupay

Scenario	**Trigger**	**Wallet Identification Challenge**	**Potential Risk**
Same-day Authorization Reversals	Network timeout, terminal malfunction, duplicate submission	original transaction. Reversed within 24hrs	LOW - Full transaction context available for accurate mapping
Clearing-time Reversals	Failed settlement, insufficient funds at issuer,	Original transaction reference present.	MEDIUM - Requires RRN-based reconciliation

	regulatory rejection	Reversed after 24hrs	against transaction history
Merchant-initiated Refunds (Post-settlement)	Product return, service cancellation, customer dispute resolution	Receive MCC in refund message, delayed processing, no original TXN reference	HIGH - MCC mismatch may lead to wrong wallet allocation
Partial Refunds	Partial product return, discount application, price adjustment	Amount mismatch complicates transaction matching, multiple partial refunds possible	MEDIUM - Complex matching logic required for accurate proportional allocation
Duplicate Refunds	System retry, merchant error, customer re-initiation	Multiple credits for same original transaction	HIGH - Risk of double-crediting and wallet contamination
Suppressed/Different MCC in Credit	Acquirer configuration, network processing differences, merchant category changes	Refund MCC doesn't match original debit MCC	CRITICAL - High probability of wrong wallet allocation
Expired Wallet/Suspended Card	Card validity expired, account suspended, wallet disabled during refund processing	Valid refund but inactive destination wallet	MEDIUM - Requires alternative processing workflow

Over-refunds	System error, merchant processing mistake, currency conversion errors	Refund amount exceeds original debit amount	HIGH - Potential for wallet balance manipulation and compliance issues